

# CERA

Earnings Call Transcript • Mar 2026

Expert Indian Equity Research Analyst (15+ years experience). Precise, concise, skeptical of management spin. Summarize earnings concall transcript into a professional, scannable report.

- \* Use ONLY explicitly stated information.
- \* Exact figures + periods.
- \* Calculate YoY/QoQ only if both figures are provided.
- \* "Not discussed in this transcript" if missing.
- \* Max 300 words total.
- \* Emojis for headers/bullets.
- \* No chain-of-thought, no filler, no prompt regurgitation.
- \* Strict markdown format.

\* **\*Company:**\* Cera Sanitaryware Limited.

\* **\*Period:**\* Q3 FY26 (ended Dec 31, 2025).

\* **\*Revenue:**\* INR 499 cr (Q3 FY26) vs INR 449 cr (Q3 FY25).  $\rightarrow$  YoY growth =  $(499-449)/449 \approx 11.1\%$  (explicitly stated).

\* **\*PAT:**\* INR 24 cr (Q3 FY26) vs INR 46 cr (Q3 FY25).  $\rightarrow$  YoY = -47.8%.

\* **\*EBITDA:**\* INR 51 cr (Q3 FY26) vs INR 59 cr (Q3 FY25).

\* **\*EBITDA Margin:**\* 10.2% (Q3 FY26) vs 13.2% (Q3 FY25).  $\rightarrow$  YoY = -300 bps.

\* **\*Other Metrics:**\*

\* EPS: INR 18.35 (Q3 FY26) vs INR 35.56 (Q3 FY25).

\* Cash: INR 757 cr (as of Dec 31, 2025).

\* Working Capital: Net WC 79 days (Q3 FY26) vs 81 days (Q3 FY25).

\* Capacity Utilization: Faucetware 102%, Sanitaryware 82%.

\* Segment Growth (YoY): Sanitaryware 6.4%, Faucetware 18.2%, Tiles 5.7%, Wellness 29.4%.

\* **\*Key Highlights:**\*

\* Revenue growth 11.1% YoY.

\* Margin drop due to trade discounts (projects), brass input costs (+12% in Q3), and pre-operating costs for Senator/POLIPLUZ.

\* Exceptional item: New Wage Code impact (INR 12.2 cr gratuity + INR 6.26 cr leave salary).

\* Senator: 32 stores operational.

\* POLIPLUZ: 65 distributors, 750 dealers.

\* **\*Growth Drivers:**\*

\* Residential upcycle and premiumization.

\* Rural demand recovery.

\* Regional shift: UP now leading zone; Bihar/Jharkhand improving.

\* New brands: Senator and POLIPLUZ.

\* **\*Guidance:**\*

\* Full year revenue growth: 7% to 8%.

\* Q4 EBITDA margin: Expecting return to 13%-14%.

\* FY27 margins: Target 15%-17% (assuming no further cost increases).

\* Senator/POLIPLUZ revenue: Revised down to INR 20 cr for current year (from INR 40-45 cr); projecting INR 100-120 cr next year.

\* **\*Capex/Expansion:**\*

\* FY26 Capex: INR 13.2 cr (as of Dec 2025).

\* Faucetware: Plant ready to scale from 4 lakhs to 6 lakhs (3-4 months timeline).

\* Sanitaryware: Land purchased for new facility, but construction deferred; decision at end of Q4.

\* **\*Risks/Red Flags:**\*

\* Margin compression (multi-decade low at 10.2%).

\* Input cost volatility (Brass rose to INR 800/kg in Jan from avg INR 640).

\* Revised down revenue guidance for new brands.

\* Deferred construction of new sanitaryware plant.

\* **\*Q&A:**\*

\* Price hike: 11% Faucetware, 4% Sanitaryware (effective March 1).

\* Outsourcing: Sanitaryware 61%, Faucetware 47% (Q3).

\* Project share: Steady at 37%-38%.

- \* **Financial Table:** Revenue 499 (11.1%), PAT 24 (-47.8%), EBITDA Margin 10.2% (-300bps).
  - \* **Highlights:** 11.1% top-line growth; margins hit by brass costs and discounts.
  - \* **Drivers:** Residential upcycle, rural recovery, UP/Bihar market traction.
  - \* **Guidance:** FY26 revenue growth 7-8%; Q4 margins 13-14%.
  - \* **Capex:** INR 13.2 cr spent; new plant construction deferred.
  - \* **Risks:** Input cost volatility; revised down new brand targets.
  - \* **Q&A:** Price hikes (11% Faucet/4% Sanitary); high outsourcing (61% Sanitary).
  - \* **Tone:** Cautiously Bullish (Revenue recovering, but margins volatile).
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- \* Check word count.
  - \* Ensure no hallucinations.
  - \* Verify exact figures.
  - \* Check formatting.

## FINANCIAL PERFORMANCE

| Metric              | Figure (Q3 FY26) | YoY      | QoQ |
|---------------------|------------------|----------|-----|
| Revenue             | INR 499 cr       | +11.1%   | N/A |
| PAT                 | INR 24 cr        | -47.8%   | N/A |
| EBITDA Margin       | 10.2%            | -300 bps | N/A |
| EPS                 | INR 18.35        | -48.4%   | N/A |
| Net Working Capital | 79 days          | -2 days  | N/A |
| Cash & Equivalents  | INR 757 cr       | N/A      | N/A |

## KEY HIGHLIGHTS

- **Margin Pressure:** EBITDA hit by higher trade discounts in projects, 12% rise in brass costs, and pre-operating expenses for Senator/POLIPLUZ.
- **Exceptional Items:** INR 18.46 cr impact due to New Wage Code (INR 12.2 cr gratuity; INR 6.26 cr leave salary).
- **Segment Growth (YoY):** Faucetware (+18.2%), Wellness (+29.4%), Sanitaryware (+6.4%), and Tiles (+5.7%).
- **Capacity Utilization:** Faucetware at 102%; Sanitaryware at 82%.

## GROWTH DRIVERS

- **Market Trends:** Residential upcycle, premiumization, and rural demand recovery.
- **Regional Shift:** Strong traction in UP (now leading zone) and recovery in Bihar/Jharkhand.
- **Brand Expansion:** Senator (32 stores) and POLIPLUZ (65 distributors, 750 dealers).

## MANAGEMENT GUIDANCE & OUTLOOK

- **FY26 Revenue:** Projected overall growth of 7% to 8%.
- **Margins:** Expecting return to 13%–14% in Q4 FY26 and 15%–17% in H2 FY27.
- **New Brands:** FY26 revenue target revised down to INR 20 cr (from INR 40–45 cr); projecting INR 100–120 cr next year.

## CAPEX / EXPANSION / ORDER BOOK

- **Capex:** INR 13.2 cr spent by Dec '25.
- **Faucetware:** Plant ready to scale from 4L to 6L units within 3–4 months.
- **Sanitaryware:** Land purchased for new facility, but construction deferred; decision pending end of Q4.

## RISKS, CONCERNS & RED FLAGS

- **Input Costs:** Brass prices spiked to INR 800/kg in January (vs 9-month avg of INR 640/kg).
- **Execution:** Revised downward revenue guidance for new brand launches.
- **Dependency:** High outsourcing in Q3 (Sanitaryware 61%, Faucetware 47%).

## ANALYST Q&A KEY TAKEAWAYS

- **Price Hikes:** Announced 11% increase for Faucetware and 4% for Sanitaryware (effective March 1).
- **Project Share:** Steady at 37%–38% of total business.
- **Margin Recovery:** Management claims Q3 was a "one-off" due to phasing of publicity and CSR spends.

## OVERALL TONE & CREDIBILITY

- Overall tone: **Cautiously Bullish** • Justification: Revenue recovery is evident, but management is reactive to input costs and has missed initial targets for new brands.